

225STCV28971 225STCV28971

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Case Number: 225STCV28971 Hearing Date: August 26, 2026 Dept: 734

The

following tentative ruling is issued pursuant to Rule of Court 3.1308 at 1:56 PM on August 25, 2026.

Rule

of Court 3.1308(a)(1) provides that a “tentative ruling will become the ruling

of the court if the court has not directed oral argument by its tentative

ruling and notice of intent to appear has not been given.”

The

Court does not desire oral argument on the motion addressed herein. Notice of intent to appear is REQUIRED pursuant

to California Rule of Court 3.1308(a)(1).

No

later than 4:00 p.m. on August 25, 2026, the moving and opposing parties must provide

notice to ALL OTHER PARTIES and the staff of Department 734 whether the party intends

to (1) appear and argue the motion, or (2) submit to the tentative ruling.

Notice to Department 734 should be sent by

email to , with opposing parties copied on the email. The high volume of telephone calls to Department 734 may delay the Court's receipt of notice, so telephonic notice to 213-830-0776 should be reserved for situations where parties are unable to give notice by email.

Plaintiff

alleges that Defendant title insurers issued a title insurance policy that omitted a senior lien, placing Plaintiff's lien in a third rather than second priority position.

Plaintiff alleges that Defendants breached an agreement to pay the shortfall between the proceeds of a foreclosure sale and the amount needed to fully payoff Plaintiff's loan.

Defendant

Chicago Title Insurance Company demurs to the First Amended Complaint and moves to strike portions thereof.

TENTATIVE RULING

Defendant

Chicago Title Insurance Company's demurrer to the First Amended Complaint is OVERRULED as to the first and second causes of action and SUSTAINED without leave to amend as to the third and fourth causes of action.

Defendant's

motion to strike is MOOT as to Paragraph 69 (Third Cause of Action for Promissory

Fraud) 1AC p. 13, lines 24-26, and Paragraph 80 (Fourth Cause of Action for Bad

Faith Denial of Insurance Benefits) 1AC p. 15, lines 9-10. The motion to strike

is DENIED as to page 15, line 16, reading as follows: "For punitive damages."

Defendant

is to answer the remaining allegations of the First Amended Complaint within 10

days.

ANALYSIS

Demurrer

Meet and Confer

The

form Declaration of Edward W. Racek reflects that Defendant's counsel satisfied

the meet and confer requirement set forth in Civ. Proc. Code, § 430.41.

Discussion

The Court has

reviewed the moving, opposing and reply briefs filed by the parties, but only addresses

the points which the Court deems to be material to the disposition of this motion.

Defendant

Chicago Title Insurance Company demurs to the First Amended Complaint as follows:

1. First

Cause of Action (Breach of Contract).

Defendant's

arguments are as follows:

This Court

already held in its March 24, 2026 Order that "Defendant fulfilled its obligations

under the terms of the Policy by paying off the undisclosed second lien, thereby

removing it in the order of priority before Plaintiffs' Lien. (Order at p. 11.)

Plaintiffs' \$127,404 "shortfall" in the repayment of the Loan was not caused by

any covered matter under the Policy. Chicago Title fully paid off the Second Senior

Lien, restoring Plaintiffs' lien to its insured

second-priority position. Instead, Plaintiffs' "shortfall" was caused by the \$3.5

million Senior Lien that was expressly excepted from coverage under the Policy,

not by the Second Senior Lien that Chicago Title paid off.

The 1AC does

not and cannot allege that Chicago Title issued a "written endorsement" modifying

the Policy. Instead, Plaintiffs now attach as Exhibit 2 an email from Mr. Shiffermiller

dated April 15, 2025, which states: "As we discussed this afternoon, the Company

has no objection to the closing of the transaction consistent with the estimated

settlement statement. When the transaction closes, the Company will evaluate and

pay the loss, if any, the Insured incurs pursuant to the terms and conditions of

the Policy." (FAC, Exh. 2.) This email is plainly not a "written endorsement issued

by the Company" within the meaning of Condition 13(b). Moreover, nothing in the email purports to amend or modify the Policy. To the contrary, the email expressly references payment only "pursuant to the terms and conditions of the Policy," i.e., under the existing Policy, not under any modification thereof. The phrase "evaluate and pay the loss" is a conditional statement confirming that any payment is contingent upon the outcome of an evaluation under the Policy's existing terms.

The remaining

exhibits attached to the FAC (Exhibits 3-7) are equally unavailing. These emails show only that Chicago Title participated in negotiations, reviewed proposed agreements between Plaintiffs and the Borrower, and stated it had "no objection" to certain documents. At no point do any of these communications contain a promise by Chicago Title to pay off the \$127,404 shortfall, let alone a "written endorsement" amending the Policy. Reviewing and monitoring a transaction in the course of handling an insurance claim is standard claims-handling practice, not an independent promise to guarantee full repayment of the underlying loan.

If Plaintiffs

wanted additional coverage beyond what the policy provided, they needed to buy an endorsement. If Plaintiffs believed Chicago Title was agreeing to pay \$127,404 more than it owed, they would have presumably confirmed these very specific terms in a written agreement. Rather, they want the Court to rely on innuendo and self-serving

speculation, while ignoring the words of the policy and emails. Because facts appearing in exhibits attached to the complaint are given precedence over contrary allegations, the 1AC's conclusory characterization of these communications as confirmation of an "agreement to pay the shortfall" cannot survive demurrer when the documents themselves contain no such agreement.

The 1AC now

extensively invokes estoppel, alleging that "Chicago is estopped from relying on Policy Condition 7(b)(i), 9(a), and 13." (1AC ¶¶ 41-42, 47-48, 54-55.) But Plaintiffs cannot use the doctrine of estoppel to expand the Policy's coverage beyond the protection afforded. The 1AC attempts to create an insurance obligation, through payment of the shortfall, that does not exist under the Policy.

Furthermore,

the 1AC's new estoppel theories premised on Conditions 7(b)(ii) and 9(c) do not salvage the claim. (1AC ¶ 41.) Condition 7(b)(ii) permits Chicago Title "[t]o pay or otherwise settle with the Insured Claimants the loss or damage provided for under this policy." The only loss provided for under the policy is the loss of lien priority, which Chicago Title cured by paying off and removing the Second Senior Lien. That provision does not transform the policy into a guarantee of full loan repayment.

Similarly, Condition 9(c) merely provides that Chicago Title "is not liable for loss or damage to the Insured for liability voluntarily assumed by the Insured in

settling any claim or suit without the prior written consent of the Company.” The

clause is a limitation on the insurer’s liability, not an affirmative undertaking

to pay a shortfall.

Moreover,

Plaintiffs’ new allegation that Chicago Title’s payoff “was roughly only \$700,000.00”

and therefore “did not represent a full exhaustion of the Amount of Insurance” (1AC

¶ 40) is immaterial. Whether the payoff was approximately \$700,000 or \$1,250,000,

it is undisputed that Chicago Title removed the Second Senior Lien and thereby restored

Plaintiffs’ DOT to its insured second-priority position, the precise risk the Policy

insured. Under Condition 9(a), the removal of “the alleged defect, lien, encumbrance,

adverse claim, or other matter” constitutes full performance accomplished “by any

method,” without regard to the amount paid. Nowhere does the Policy condition full

performance on exhaustion of the Amount of Insurance. Indeed, title insurance scholar

Bush Nielsen states: “The insurer is never obligated to pay policy limits, since

the insurer always has at least one other option provided by the policy, which is

payment to the insured of the value of the property.” (B. Nielsen, Title and Escrow

Claims Guide § 3.5 Payment of Policy Limits, 2016 WL 6637038.)

The statute

of frauds bars enforcement of “[a] special promise to answer for the debt, default,

or miscarriage of another” absent a writing. (Cal. Civ. Code § 1624(a)(2).) Plaintiffs

attempt to satisfy this requirement by attaching Exhibits 2-7, but these writings do not satisfy the Court's directive because they contain no promise to pay the shortfall. The email Plaintiffs rely upon, Exhibit 2, speaks only of evaluating and paying losses "pursuant to the terms and conditions of the Policy," which required nothing more than what Chicago Title already did: restore Plaintiffs to their insured position. (1AC, Exh. 2.) To the extent Plaintiffs contend that Chicago Title promised to ensure full repayment of the Borrower's debt, such a suretyship promise would be required to be in writing. (Cal. Civ. Code § 2793.) Mr. Shiffermiller's email, which expressly references the "terms and conditions of the Policy" and includes the conditional language "if any," does not satisfy this requirement.

Plaintiff's

arguments in response are:

Plaintiffs

do not ask this Court to import an excluded risk into the four corners of the Policy.

Antonopoulos and Komorsky both address a narrow and different situation: an insured trying to use the insurer's post-loss conduct to expand the risks the policy covers.

(Antonopoulos, *supra*, 63 Cal.App.5th at p. 591.)

Plaintiffs'

theory is different in kind. First, Chicago Title elected a covered option under

the policy and then failed to perform having induced Plaintiffs to rely on that

election. More importantly, Chicago Title's Vice President made an independent, extra Policy promise—to personally evaluate and pay Plaintiffs' anticipated loss from consenting to a discounted short sale—in order to induce conduct the Policy itself did not obligate Plaintiffs to undertake: the voluntary release of their fully secured \$3,350,000 deed of trust and the forfeiture of their foreclosure remedy.

(1AC ¶¶ 15–18, 25, 40.)

Estoppel is

invoked here not to conjure coverage for an excluded risk, but to prevent Chicago Title from using policy conditions that govern the mechanics of claims handling to erase a separate promise its own authorized agent made in order to obtain Plaintiffs' cooperation with a transaction that benefited Chicago Title and not Plaintiffs.

That is a permissible use of estoppel entirely apart from the “coverage by estoppel”

line of cases Chicago Title relies upon. (See, e.g., *Nielsen Contracting, Inc. v.*

Applied Underwriters, Inc. (2018) 22 Cal.App.5th 1096, 1117 [an “endorsement”

to a policy “may alter or vary any term or condition of the policy”].)

The 1AC pleads

every element of both doctrines. Chicago Title knew the facts— Shiffermiller is

alleged to have known both the existence of the Error and that “the anticipated

shortfall was over \$800,000.00,” at the time the promise was made. (1AC ¶ 15.) Chicago

Title intended Plaintiffs to rely—Shiffermiller made the representation “with the

expectation that it would be shared with Plaintiffs” as lienholders, knowing their consent was required to close. (1AC ¶¶ 15, 62.) Chicago Title did not intend to perform. (1AC ¶63.) Plaintiffs were ignorant of its undisclosed intent not to perform. (1AC ¶ 63.) And should the Court find that further amendment is necessary, Plaintiff can attach additional communications produced by Chicago Title in discovery that exhibit the furtive manner in which Shiffermiller selectively communicated his intent to pay off the Second Senior Lien only internally and never advised Plaintiffs until it was too late for them to change their position.

Notably, Chicago

Title argues the emails in the 1AC “show only that Chicago Title participated in negotiations, reviewed proposed agreements between Plaintiffs and the Borrower, and stated it had ‘no objection’ to certain documents.” (Dem., p. 16.) Absent from Chicago Title’s demurrer is any plausible explanation as to why Chicago Title would even be involved in any of these activities between the Plaintiffs and the borrower if it had not represented it would pay the shortfall. There is no basis for Chicago Title’s manufactured excuse that “[r]eviewing and monitoring a transaction in the course of handling an insurance claim is standard claims-handling practice, not an independent promise to guarantee full repayment of the underlying loan.” (Ibid.) Finally, Plaintiffs relied to their detriment on Shiffermiller’s representations during the negotiations: “But for Chicago’s representation ... Plaintiffs would not

have consented to the sale of the Property, would not have consented to release their DOT, and would not have suffered any loss because Plaintiffs' lien would remain fully secured by the Property and they would retain the right to pursue nonjudicial foreclosure.” (1AC ¶ 16; see also ¶¶ 25, 37–39.) There is no plausible reason why Plaintiffs would ever have considered accepting a shortfall of over \$800,000.00 in lieu of pursuing foreclosure on the fully secured lien, absent Chicago Title's representation it would cover the shortfall.

Chicago Title

is not alleged to be a passive claims-payer that simply exercised a contractual option. According to the 1AC, Chicago Title's own claims counsel affirmatively picked up the telephone, told Plaintiffs' agent that Chicago Title would “pay the loss” Plaintiffs would suffer from a discounted payoff after the short sale, and then spent the next several days directing the precise terms on which the short sale would close—including insisting that the payoff letter reserve “all rights to recover the full amount of the debt” from the Borrower, so that Chicago Title, not Plaintiffs, would benefit from any later recovery. (1AC ¶¶ 15–23, Exh. 4.) Only after Plaintiffs had irrevocably released their DOT and the sale had closed did Chicago Title reverse course and assert that it had promised nothing beyond the Policy's bare indemnity terms— indeed, that it had not even “been involved in those negotiations” that its own claims counsel had led for days by email. (1AC ¶¶ 33–36.)

Equitable

estoppel bars a party from asserting the statute of frauds, where enforcing it “would result in an unjust and unconscionable loss to the other party, ... amounting in effect to a fraud upon them.” (Mason, *supra*, 10 Cal.App.2d at p. 698.) Few situations fit that description better than an insurer’s own claims counsel orally promising to cover a lienholder’s anticipated loss, in exchange for the lienholder surrendering a multi-million dollar secured position and its foreclosure remedy and then relying on the informality of its own promise—an informality of its own choosing—to avoid the very obligation that induced the surrender.

Nor can Chicago

Title profit from the fact that hedged the language in its confirming email rather than stating the oral promise in full. Insurers, like any sophisticated drafter, are charged with the consequences of the words they choose. (Civ. Code, § 1654; *AIU Ins. Co.*, *supra*, 51 Cal.3d at p. 822.) Here, the 1AC alleges that Shiffermiller’s April 15, 2025, email was sent as written confirmation of an oral promise that Chicago Title knew Plaintiffs would and did rely upon to release a multi-million dollar lien—not as a preliminary or exploratory communication. (1AC ¶¶ 15, 62.) A sophisticated insurer’s claims counsel does not need to spell out every term of a settlement in a single sentence for that settlement to be enforceable; the surrounding correspondence in Exhibits 3 through 7, in which Shiffermiller actively negotiated the terms of

the payoff and reserved rights benefiting Chicago Title alone, is itself evidence

that Chicago Title understood it was assuming an obligation beyond the four corners

of the Policy. (1AC ¶¶ 19–23, Exhs. 3–7.)

Whether the

parties' course of dealing amounted to a binding independent promise, an implied

endorsement, or a basis for estoppel is a factual question for the trier of fact,

not a basis to sustain a demurrer.

The 1AC identifies

Roger Shiffermiller, Chicago Title's Vice President and Senior Claims Counsel, and

Peter Filler, an Executive Vice President, as the individuals with authority to

speak for Chicago Title regarding the Error. (1AC ¶ 13.) It alleges that Shiffermiller

made the oral promise "on April 15, 2025" to Ron Sentchuk of Plaintiffs' agent,

Logan Investments, "on the telephone," expressly "with the expectation that it would

be shared with Plaintiffs." (1AC ¶ 15.) And it attaches, as Exhibit 2, Shiffermiller's

written confirmation sent that same afternoon, albeit couched to mislead.

The 1AC alleges

that Chicago Title "designated Shiffermiller, a Vice President thereof, as their

authorized representative and agent to negotiate and determine a resolution with

Plaintiffs." (1AC ¶ 60, emphasis added.) That was the purpose for Shiffermiller's

presence and approval of the terms of the negotiation for the short sale. These

allegations supply exactly what the Order required: who made the representation, that person's authority to speak for the corporation, to whom they spoke, what they said, and when. (See *Lazar*, supra, 12 Cal.4th at 645.)

Exhibit 2

is Shiffermiller's April 15, 2025, email confirming that "the Company has no objection to the closing of the transaction consistent with the estimated settlement statement" Chicago Title approved and that "the Company will evaluate and pay the loss, if any, the Insured incurs pursuant to the terms and conditions of the Policy." (1AC, Exh. 2.) That email establishes Chicago Title's knowledge of the loss. Shiffermiller's subtle caveat of "pursuant to the terms and conditions of the Policy" indicates its intent not to abide by the promise he made. Exhibits 3 through 7 are the emails that followed over the next three days, in which Shiffermiller, on Chicago Title's behalf, reviewed and approved every term of the parties' payoff agreement—directing that the payoff letter include "a reservation of all rights to recover the full amount of the debt" (1AC, Exh. 4), confirming the revised agreement was "acceptable to the Company" (ibid.), requesting updated settlement figures (Id., Exh. 5), and twice more confirming that "[t]he Company has no objection to either document." (Id., Exh. 7.) Counsel for Plaintiffs specifically noted the reason Chicago Title's review was sought was to confirm whether from its perspective "anything in this agreement (the releases) will affect coverage to insure the unpaid balance of the

loan after the transaction closes . . .” (Id. Ex. 3.) Shiffermiller responded: “This is acceptable to the Company.” (Id. Ex. 4.) Read together—as they must be at the pleading stage—these writings are, at minimum, a confirmation of the promise or at least a course of dealing sufficient to place the existence and content of Chicago Title’s promise squarely at issue for the trier of fact, not for resolution on demurrer. When evaluated in conjunction with the allegations regarding the oral representation, they confirm Chicago Title’s agreement and representation that it intended to pay any shortfall.

Chicago Title’s

Demurrer isolates and rests upon a single phrase from Exhibit 2— “pursuant to the terms and conditions of the Policy”—and insists it forecloses any independent agreement as a matter of law. That reading ignores that Shiffermiller, Chicago Title’s own claims counsel, chose the words “evaluate and pay the loss, if any,” in a communication he sent with the expectation it would be relayed to Plaintiffs as assurance sufficient to let a multi-million-dollar sale close. (1AC ¶ 15.) If that language is ambiguous as to whether it incorporated the parties’ independent oral understanding, the ambiguity is Chicago Title’s to bear, not Plaintiffs’. (Civ. Code, § 1654; AIU Ins. Co., *supra*, 51 Cal.3d at p. 822.) At minimum, the meaning of Exhibit 2, in light of the oral promise it was sent to confirm, and in light of Chicago Title’s subsequent conduct in Exhibits 3 through 7, is a factual dispute the Court cannot resolve on demurrer.

Court's

Analysis of Arguments:

Plaintiffs

allege that they were induced to agree to a short sale:

76. Defendants'

conduct was more than mere negligence and constituted bad faith. Defendants made representations to Plaintiffs for the purpose of inducing them to agree to the short sale, knowing that Plaintiffs would rely on those representations to their detriment and with the expectation that Defendants would pay the shortfall.

Normally,

the Court would view the situation as Plaintiff seeking to be placed in a better position than if it had actually been the holder of the second, rather than the third lien. That is, under the title insurance policy, Plaintiff would only be entitled to be placed in second position by virtue of the title insurance company removing the undisclosed lien by paying off the underlying loan, or purchasing Plaintiff's loan. However, because the instant situation arises as part of a short sale, rather than being a straight title insurance claim, Plaintiff's theory that it was induced to agree to the short sale because Chicago Title would pay the shortfall is plausible.

When a borrower defaults on a loan secured by real property, the

lender can use one of three procedures to recover the debt. . . .

[*673]

. . .

Third, the lender can recover money from the defaulting borrower

by facilitating a short sale. In a short sale, the lender agrees to release its

lien on the borrower's property so that the borrower can sell the property to a

third party. In exchange, the borrower agrees to give the lender all of the proceeds

from the sale. Both parties know that the sale proceeds will fall short of the

total amount that the borrower owes. The Assembly Committee on Judiciary has

observed that short sales "save banks millions in foreclosure costs" and can help

homeowners "feel like they took responsibility for the obligation to pay [their

creditors] back." (Citations omitted.)

(Coker v. JPMorgan Chase Bank, N.A. (2016) 62 Cal. 4th

667, 672-73 [bold emphasis added].)

In its analysis of the proposed amendment (Sen. Bill No. 458 (2011–2012

Reg. Sess.)), the Assembly [*1395] Committee on Judiciary recited with approval the

following comment by one of the bill's proponents: " '[Senate Bill No.] 458 ... adds

additional protections against post-short sale deficiency liability to junior note

holders (seconds) when those lenders approve a short sale. It is important to note

that the short sale process remains voluntary on every participant's part—only lenders

that actually agree to the sale will be affected, and sellers that cannot put together

an acceptable sale may still go to foreclosure and even bankruptcy.' " (Assem.

Com. On Judiciary, Analysis of Sen. Bill No. 458 (2011–2012 Reg. Sess.) as amended

May 16, 2011, pp. 2–3.)

(Bank of America, N.A. v. Roberts (2013) 217 Cal. App.

4th 1386, 1394-95 [bold emphasis added].)

In the 1AC,

Plaintiffs allege as follows:

45. Plaintiffs entered into a valid written

contract with Chicago Title, whereby Chicago Title agreed to insure Plaintiffs'

Loan to Borrower by issuing the Policy in the amount of \$3,350,000.00, excepting

the Senior Loan that appeared on the Policy, in exchange for Plaintiffs' payment

of a premium in the amount of \$2,750.00.

46. When Defendants issued the Policy to

Plaintiffs, they failed to identify the second lien for \$1,250,000.00 that was also

secured by the Property and that was in a senior position to the Loan.

47. After Plaintiffs brought the Error

to Chicago Title's attention, Chicago Title agreed both orally and in writing to

pay Plaintiffs any Shortfall from the sale of the Property. This oral representation

occurred on April 15, 2025, by Roger Shiffermiller to Plaintiffs' agent Ron Sentchuk

of loan servicer Logan Mortgage, with the expectation that the representation would be shared with Plaintiffs as lienholders. Chicago Title's promise and agreement was also contained in Roger Shiffermiller's email attached hereto as Exhibit 1.

Chicago Title's agreement, and basis for the application of estoppel against Chicago Title's reliance on any other provision of the Policy to disclaim liability, is further confirmed by its conduct of approving, and demanding that Plaintiffs submit for approval, any sales agreement between Plaintiffs and the Borrower.

48. Defendants breached the terms of the Policy, as modified and extended by Chicago Title's written and oral agreement to allow Plaintiffs to consent to the sale of the Property at an amount that was insufficient to payoff the Loan and release their DOT, in exchange for Chicago Title promising to cover the shortfall from that transaction. Defendants are estopped from claiming that they performed under the Policy based on their fraudulent conduct in promising Plaintiffs that they would cover any shortfall after the transaction, as described herein.

49. Chicago Title's conduct was a substantial factor in causing Plaintiffs' harm, and but for Chicago Title's conduct and breach alleged herein, Plaintiffs would not have been damaged and would have maintained their security interest in the Property.

50. Plaintiffs have been damaged in at least

the amount of \$127,404.00.

(1AC, ¶¶ 45 – 50 [bold emphasis added].)

Notably, the Policy,

attached as Exhibit 1 to the 1AC, provides that Covered

Risks include the following:

10. The

lack of priority of the lien of the Insured Mortgage upon the Title over any

other lien or encumbrance on the Title as security for the following components

of the Indebtedness:

a. the

amount of the principal disbursed as of the Date of Policy;

b. the interest

on the obligation secured by the Insured Mortgage;

c. the reasonable

expense of foreclosure;

d. amounts

advanced for insurance premiums by the Insured before the acquisition of the estate

or interest in the Title, and

e. the following

amounts advanced by the Insured before the acquisition of the estate or interest

in the Title to protect the priority of the lien of the Insured Mortgage:

i. real estate

taxes and assessments imposed by a governmental taxing authority; and

ii, regular,

periodic assessments by a property owners' association,

(Bold emphasis added.)

Moreover,

the CONDITIONS provide at ¶ 7 as follows:

7. OPTIONS TO PAY OR OTHERWISE SETTLE CLAIMS; TERMINATION OF LIABILITY

In case of a claim under this policy, the Company has the following

additional options:

a. To Pay or Tender Payment of the Amount of Insurance

or to Purchase the Indebtedness

i. To pay or tender payment of the Amount of Insurance^[1]

under this policy. In addition, the Company will pay any costs, attorneys' fees,

and expenses incurred by the Insured Claimant that were authorized by the Company

up to the time of payment or tender of payment and that the Company is obligated

to pay; or

ii. To purchase the Indebtedness for the amount of the Indebtedness

on the date of purchase. In addition, the Company will pay any costs, attorneys' fees, and expenses incurred by the Insured Claimant that were authorized by the Company up to the time of purchase and that the Company is obligated to pay.

If the Company purchases the Indebtedness, the Insured must transfer, assign, and convey to the Company the Indebtedness and the Insured Mortgage, together with any collateral security.

Upon the exercise by the Company of either option provided for in Condition 7.a., the Company's liability and obligations to the Insured under this policy terminate, including any obligation to defend, prosecute, or continue any litigation.

b. To Pay or Otherwise Settle with Parties other than the Insured or with the Insured Claimant

i. To pay or otherwise settle with parties other than the Insured for or in the name of the Insured Claimant. In addition, the Company will pay any costs, attorneys' fees, and expenses incurred by the Insured Claimant that were authorized by the Company up to the time of payment and that the Company is obligated to pay; or

ii. To pay or otherwise settle with the Insured Claimant the loss or damage provided for under this policy. In addition, the Company will pay any costs, attorneys' fees, and expenses incurred by the Insured

Claimant that were authorized by the Company up to the time of payment and that the Company is obligated to pay.

Upon the exercise by the Company of either option provided for in Condition 7.b., the Company's liability and obligations to the Insured under this policy for the claimed loss or damage terminate, including any obligation to defend, prosecute, or continue any litigation.

The above

language of ¶ 7 of the Policy does not specify, and is not limited to, paying off senior liens which were not disclosed on the title report. Indeed, paying the "Amount of Insurance" is broad enough to include paying off a shortfall after a negotiated short sale.

"[I]n cases of ambiguity, basic coverage provisions are construed broadly in favor of affording protection." (Minkler, supra, 49 Cal.4th at p. 322; see also MacKinnon v. Truck Ins. Exchange, supra, 31 Cal.4th at p. 655 [where there are multiple plausible interpretations of a policy, a court must find coverage if there is a "reasonable interpretation under which recovery would be permitted"].) Here, there is a reasonable interpretation under which recovery would be permitted, and thus Farmers is not entitled to summary adjudication of its bad faith claim.

(11640 Woodbridge Condominium Homeowners' Assn. v. Farmers

Ins. Exchange (2025) 110 Cal.App.5th 211, 232.)

In this regard,

Plaintiffs have included e-mail correspondence as exhibits. Exhibit 2 is an April

15, 2025 e-mail from Roger Shiffermiller[2]

to Andrew Mase[3] and

Ron Sentchuk[4]:

Andrew and

Ron,

As we discussed

this afternoon, the Company has no objection to the closing of the transaction consistent

with the estimated settlement statement. When that transaction closes, the Company

will evaluate and pay the loss, if any, the Insured incurs pursuant to the

terms and conditions of the Policy.

Thanks,

Roger

Roger L. Shiffermiller

Vice President

Senior Claims

Counsel

Fidelity National

Financial

(1AC, Exh. 2 [bold emphasis and underlining

added].)

Here,

if the Company intended only to pay off the senior second lien and leave Plaintiffs

to their own devices, then there would be no “loss” to pay. A reasonable interpretation

of Shiffermiller’s statement that the Company would evaluate and pay “the loss,”

if any, is a reference to a shortfall after the loan proceeds were applied to pay

off senior liens. In light of Plaintiffs releasing their lien, this is the reasonable

interpretation attributed by Plaintiffs and it must be accepted as true on demurrer[5].

15. On April 15,

2025, Ron Sentchuk from Logan Investments, on behalf of Plaintiffs, spoke with Shiffermiller

on the telephone. Shiffermiller stated to Mr. Sentchuk, with the expectation that

it would be shared with Plaintiffs, that Plaintiffs could enter into an agreement

with the Borrower to accept a partial payoff of the Loan— the funds for which would

be generated from a sale of the Property, which needed the consent from Plaintiffs

to proceed and close—and to release the DOT from title to the Property, as Chicago

Title promised it would “pay the loss,” Plaintiffs suffered from not receiving

a full payoff. Attached hereto as Exhibit 2 is a true and correct copy of Mr.

Shiffermiller’s email wherein Chicago Title confirms its agreement to pay the shortfall

loss caused by Plaintiffs' consent to let the sale of the Property close. Indeed, at that time, the anticipated shortfall was over \$800,000.00, with Chicago Title agreeing to pay that amount to Plaintiffs post-closing of the transaction. Even with Chicago Title's later undisclosed payoff of the undisclosed second lien, Chicago Title still induced a loss to Plaintiffs by procuring their consent to let the transaction close.

16. But for Chicago's

representation made orally to Ron Sentchuk on April 15, 2025, that Chicago would cover any loss/shortfall, and Roger Shiffermiller's confirming correspondence attached hereto as Exhibit 2, Plaintiffs would not have consented to the sale of the Property, would not have consented to release their DOT, and would not have suffered any loss because Plaintiffs' lien would remain fully secured by the Property and they would retain the right to pursue nonjudicial foreclosure.

17. In other words,

Mr. Shiffermiller represented that Plaintiffs could accept and consent to the sale of the Property at a sales price that would be insufficient to fully pay off the Plaintiffs' Loan, and that Chicago Title make up the difference to ensure that Plaintiffs received a full payoff on the Loan.

(1AC, ¶¶ 15 – 17 [bold emphasis added].)

The Court

finds that Plaintiffs have sufficiently pled a breach of contract based on the policy language as written in ¶ 7 of the CONDITIONS. As such, the statute of frauds and estoppel are not an issue.

The demurrer

to the first cause of action is OVERRULED.

2. Second

Cause of Action (Breach of the Implied Covenant of Good Faith and Fair Dealing).

Defendant

argues:

Because Chicago

Title fully performed its Policy obligations by paying off the Second Senior Lien,

no benefits are due and there can be no breach of the covenant as a matter of law.

Moreover, Chicago Title exercised its express right under Condition 7(b)(i) to pay

off the Second Senior Lien. This act is specifically authorized by the Policy and

cannot constitute bad faith.

Furthermore,

the 2AC attempts to reframe the claim as one based on Chicago Title “inducing” Plaintiffs

to consent to the short sale. However, the exhibits attached to the 1AC show that

the Borrower, not Chicago Title, proposed the sale of the Property. Plaintiffs’

own agents initiated the negotiations, asked Chicago Title for input, and sought

its approval. (1AC, Exhs. 3-7.) Nothing in these communications demonstrates that

Chicago Title “induced” Plaintiffs to do anything, let alone that it unreasonably

withheld policy benefits. Indeed, the emails at most show that Chicago Title did

not stand in the way of what the Plaintiffs chose

to do. Therefore, because no policy benefits are due, the implied-covenant claim

fails as a matter of law.

Plaintiff

argues:

Because the

1AC now pleads an independent, extra-Policy promise—confirmed in writing and supported

by its own consideration (Plaintiffs’ release of their deed of trust and foreclosure

rights)—benefits are alleged to be “due” regardless of how the breach-of-contract

analysis is ultimately resolved. The implied covenant, moreover, attaches not only

to the Policy’s express indemnity terms but to the entirety of the parties’ relationship,

including obligations Chicago Title assumed through its own conduct and oral and

written representations while administering Plaintiffs’ claim. (*Brehm v. 21st*

Century Ins. Co., *supra*, 166 Cal.App.4th at 1235-1236.) Finally, the

policy does allow for Chicago Title’s election to pay the policy proceeds, which

it essentially elected to do by ensuring the short sale occurred and agreeing to

pay the shortfall resulting therefrom.

Unlike the

original Complaint, the 1AC now also alleges specific, unreasonable conduct: Chicago

Title's own agent directed and approved the precise terms of a transaction he knew

would leave Plaintiffs with an uncompensated shortfall, secured a reservation of

rights benefiting Chicago Title alone, and then, once the transaction closed and

could not be undone, asserted for the first time that Chicago Title had "no further

obligation" and had never even been "involved in those negotiations" its own claims

counsel had led. (1AC ¶¶ 19–23, 33–34.) Whether that conduct was unreasonable or

without proper cause is a factual question that cannot be resolved on demurrer.

Court's

Analysis:

Given

the ruling above re: the first cause of action, the 1AC sufficiently pleads that

policy benefits are due under the policy and that Defendant has unreasonably withheld

policy benefits. "An insurer breaches the implied covenant of good faith and fair dealing

when it unreasonably withholds policy benefits.

(Citation omitted.) (Hibbs v.

Allstate Ins. Co. (2011) 193 Cal.App.4th 809, 820.)

As such, the demurrer

to the second cause of action is OVERRULED.

3. Third

Cause of Action (Promissory Fraud).

Defendant

argues in support of the demurrer as follows:

While the

2AC now adds some additional specificity as to who, when, and to whom, alleging

that on April 15, 2025, Mr. Shiffermiller spoke to Ron Sentchuk by telephone, it

critically fails to cure the other deficiencies identified by this Court. First,

the 2AC still fails to allege what was actually said. Plaintiffs characterize the

representation as a promise that Chicago Title would “pay the loss” and cover any

“shortfall.” (1AC ¶¶ 15, 17.) But the only writing confirming this alleged oral

representation, Exhibit 2 of the 1AC, does not say what Plaintiffs claim it says.

The email states Chicago Title will “[e]valuate and pay the loss, if any, the Insured

incurs pursuant to the terms and conditions of the Policy.” This is a conditional

statement referencing the Policy’s existing terms, not an unconditional promise

to pay the shortfall. In fact, the 1AC alleges that at the time of the April 15,

2025 communication “the anticipated shortfall was over \$800,000.00” (1AC ¶ 15),

underscoring that the email could not have constituted a definite promise to pay

a then-unknown and unquantified sum. The exhibits thus contradict, rather than support,

the allegation of a promise to pay.

Second, the

1AC's allegation of contemporaneous intent not to perform remains wholly conclusory.

Paragraph 63 of the 1AC states: "Plaintiffs are informed and believed that Chicago

Title never had any intention of performing as promised as evidenced by their motivation

to conceal their payment to payoff the offending nondisclosed senior lien outside

of escrow and without any notice to Plaintiffs." But paying off the Second Senior

Lien outside of escrow was actually how Chicago Title performed its obligations

under the Policy. This was not "concealment," rather, it was Chicago Title's fulfillment

of its contractual duties under Condition 7(b)(i) of the Policy. Furthermore, the

mere allegation that a promise was made and not fulfilled is not sufficient to prove

fraud.

Third, this

Court's Order specifically noted that fraud damages in cases not involving acquisition

of property are limited to "out-of-pocket losses." Plaintiffs' claimed \$127,404

in damages is a "shortfall", the difference between what they received from the

sale and what they were owed on the Loan. This is a benefit-of-the-bargain measure,

not an out-of-pocket loss. Plaintiffs received sale proceeds; they simply did not

receive the full amount of their loan. The 1AC does not allege what Plaintiffs'

out-of pocket losses were, that is, what they actually expended in reliance on the

alleged misrepresentation that they would not have otherwise expended. This deficiency

remains uncured.

Lastly, the

1AC fails to allege causation or justifiable reliance. Here, the Borrower had already defaulted on the Loan before any alleged promise was made. Plaintiffs' lien was already in third position due to the undisclosed Second Senior Lien. While Plaintiffs allege they would have pursued nonjudicial foreclosure rather than consenting to the sale, they do not allege that foreclosure would have yielded full repayment of their Loan, particularly given the \$3.5 million Senior Lien and other debts ahead of them. The 1AC thus fails to plead that Plaintiffs' damages were actually caused by their reliance on the alleged promise rather than by preexisting market conditions and the Borrower's default.

Plaintiff

argues in response:

In direct

response to the Order sustaining the demurrer, the 1AC newly

alleges and/or

clarifies:

· The identity and authority of Chicago Title's claims personnel:

Peter Filler, "an Executive Vice President and a managing agent of Chicago Title,"

and Roger Shiffermiller, "a Vice President and a managing agent of Chicago Title,"

whom Chicago Title “designated ... as their authorized representative and agent to negotiate and determine a resolution with Plaintiffs,” who Plaintiffs should be allowed to depose. (1AC ¶¶ 13, 60.)

- The exact date, means, and content of the oral promise: on “April 15, 2025,” Shiffermiller told Ron Sentchuk of Plaintiffs’ loan servicer, Logan Investments, “on the telephone,” that Chicago Title would “pay the loss” Plaintiffs would suffer from a reduced payoff, “with the expectation that it would be shared with Plaintiffs.” (Id. ¶ 15.)

- Six documentary exhibits consisting of the April 15, 2025, confirming email and five further email exchanges from April 17-18, 2025, in which Shiffermiller reviewed, negotiated, and expressly approved the specific terms of the parties’ payoff agreement. (Id. ¶¶ 15, 19–23, Exs. 2–7.)

- A basis for Chicago Title’s contemporaneous intent not to perform, tied to its undisclosed decision to pay off the Second Senior Lien “outside of escrow and without any notice to Plaintiffs” while continuing to negotiate the shortfall payment. (Id. ¶ 63.)

- Specific, itemized allegations of estoppel directed at each Policy provision Chicago Title invokes—Conditions 7(b)(i), 9(a), and 13—explaining why Chicago Title’s own conduct precludes it from relying on those provisions to disclaim its independent promise. (Id. ¶¶ 40–43.)

The 1AC alleges

that, in reliance on Chicago Title's promise, Plaintiffs released a fully secured \$3,350,000 deed of trust and forfeited their right to pursue nonjudicial foreclosure against the Property—a right that, absent Chicago Title's inducement, they would have exercised to recover the full amount owed. (1AC ¶¶ 16, 25, 38–39.) The surrender of a specific, secured legal remedy in reliance on a fraudulent promise is a quintessential out-of-pocket expenditure incurred in reliance on the fraud, not a claim for the benefit Plaintiffs merely hoped the bargain would produce. Whether Plaintiffs' foreclosure remedy would have yielded a recovery equal to, greater than, or less than the \$127,404 shortfall is, at most, a disputed question going to the amount of damages.

Court's

Analysis

The

elements of a cause of action for a false promise constituting fraud or deceit are:

“(1) a promise made regarding a material fact without any intention of performing it; (2) the existence of the intent at the time of making the promise; (3) the promise was made with intent to deceive or with intent to induce the party to whom it was made to enter into the transaction; (4) the promise was relied on by the party to whom it was made; (5) the party making the promise did not perform; (6) the party to whom the promise was made was injured.” (Regus v. Schartkoff (1957))

156 Cal.App.2d 382, 389.)

As stated in *Service By Medallion v. Clorox Co.* (1996) 44 Cal.App.4th

1807, 1816:

“An action for promissory fraud may lie where a

defendant fraudulently induces the plaintiff to enter into a contract.” (*Lazar v.*

Superior Court (1996) 12 Cal. 4th 631, 638 [49 Cal. Rptr. 2d 377, 909

P.2d 981].) The action is one of deceit, which requires proof that the defendant

made a misrepresentation of fact or a promise without any intention of performing

it. (Civ. Code, § 1710.) A complaint for fraud must allege the following elements:

(1) a knowingly false representation by the defendant; (2) an intent to deceive

or induce reliance; (3) justifiable reliance by the plaintiff; and (4) resulting

damages. (*Croeni v. Goldstein* (1994) 21 Cal. Cal. App. 4th 754, 758 [26

Cal. Rptr. 2d 412].) Every element must be specifically pleaded. (*Tarmann v. State*

Farm Mut. Auto. Ins. Co. (1991) 2 Cal. Cal.

App. 4th 153, 157 [2 Cal. Rptr. 2d 861].)

“The

mere failure to carry out a promise is not a tort, and it is therefore essential,

in pleading fraud consisting of a false promise, to allege the elements of fraud.”

(*Maynes v. Angeles Mesa Land Co.* (1938) 10 Cal.2d 587, 589.)

The 1AC alleges:

61. As set forth

herein, Chicago Title, through its managing agent Shiffermiller, made a promise to Plaintiffs to approve Borrower's proposed sale of the Property which was in an amount insufficient to pay off Plaintiffs' lien in full, whereby Chicago Title promised to pay Plaintiffs the shortfall of funds, if Plaintiffs agreed to reconvey their DOT securing the Loan without releasing Borrower from the underlying debt obligation.

62. This oral

representation occurred on April 15, 2025, by Roger Shiffermiller to Plaintiffs' agent Ron Sentchuk of loan servicer Logan Mortgage, via telephone, with the expectation that the representation would be shared with Plaintiffs as lienholders. Chicago Title's written promise and agreement was also contained in Roger Shiffermiller's email attached hereto as Exhibit 2.

63. Plaintiffs

are informed and believe that Chicago Title never had any intention of performing as promised as evidenced by their motivation to conceal their payment to payoff the offending nondisclosed senior lien outside of escrow and without any notice to Plaintiffs, in addition to never disclaiming their promise or agreement to pay Plaintiffs the shortfall after the transaction closed.

64. Chicago Title

at all times prior to the sale intended to induce and deceive Plaintiffs into agreeing

to the sale proposed by the Borrower and receiving an amount insufficient to pay off the Loan, based on their promise to pay Plaintiffs the any remaining sums due under the Loan as shortfall, but in actuality, Chicago Title had no intention of paying any amount to Plaintiffs.

65. Plaintiffs

reasonably relied on Chicago Title's representations by consenting to the sale proposed by the Borrower and releasing the DOT, with the full reasonable expectation (confirmed by Chicago Title) that Plaintiffs would be compensated by Chicago Title after the transaction for the shortfall.

66. Defendants

failed to comply with their promise to pay Plaintiffs the shortfall that arose from the sale, and which Defendants knew would arise from the sale.

67. This was

a substantial factor in causing Plaintiffs' damages.

68. Plaintiffs

have been damaged in at least the amount of \$127,404.00.

(1AC, ¶¶ 61 – 68 [bold

emphasis added].)

This \$127,404.00 sum is alleged earlier

to be the shortfall after sale proceeds were applied:

28. On May 15,

2025, Borrower sold the Property for \$7,500,000.00. The proceeds from the sale,

after the Senior Lien and other agreed-upon debts were paid, and the balance that

was provided to Plaintiffs, left a shortfall of \$127,404.00.

(1AC, ¶ 28.)

This is quintessential benefit-of-the-bargain

damages which, as discussed above re: the first cause of action, are covered under

the policy language. As such, these damages are not recoverable under a fraud theory:

Gray holds that a

defrauded party may recoup his out-of-pocket losses and expenditures in reliance

on the fraud, but he may not recover benefit-of-the-bargain damages (i.e.,

damages placing him in the economic position he would have occupied had the representation

been true), at least where the recovery is not premised on a specific property actually

acquired by the defrauded party.

(Kenly v. Ukegawa (1993) 16 Cal.App.4th 49, 54 [bold

emphasis and underlining added].)

The demurrer to the third cause of action

is SUSTAINED without leave to amend.

4. Fourth

Cause of Action (Bad Faith Denial of Insurance Benefits).

Defendant

argues;

The Fourth

Cause of Action for bad faith denial of insurance benefits is essentially duplicative of the Second Cause of Action for breach of the implied covenant of good faith and fair dealing, and fails for the same reasons.

In addition,

the Fourth Cause of Action's invocation of California Insurance Code section 790.03 does not salvage the claim, because the statute does not create a private right of action. (*Moradi-Shalal v. Fireman's Fund Ins. Companies* (1988) 46 Cal.3d 287, 304.)

Plaintiff

argues:

For the same

reasons the 1AC adequately alleges that policy benefits remain due (see Section 5, *supra*), it likewise states a claim for bad faith denial of insurance benefits.

Chicago Title's argument that this claim duplicates the second cause of action goes, at most, to the proper remedy or to consolidation of overlapping theories at a later stage— not to the sufficiency of the pleading.

Moreover,

Chicago Title only paid off the \$1,250,000 senior lien after directing negotiation of a short sale agreement based upon its promise to pay Plaintiffs' shortfall and secretly paid off the lien at the last minute when the sale closed and Plaintiffs were locked into the position Chicago Title had lured them. (Dem., p. 10.)

Court's

Analysis

The fourth

cause of action alleges that "Defendants' conduct violated California Insurance Code section 790.03." (1AC, ¶ 75.)

"[Insurance

Code section 790.03] does not create a private right of action. (Moradi-Shalal v. Fireman's Fund Ins. Companies (1988) 46 Cal.3d 287, 292, 294, 304 [250 Cal. Rptr. 116, 758 P.2d 58].)" (Planet Bingo, LLC v. Burlington Ins. Co. (2021) 62 Cal. App. 5th 44, 55 n.4.)

Moreover,

as a cause of action for bad faith denial of insurance benefits, this cause of action is duplicative of the second cause of action. A demurrer may be sustained to a cause of action which merely duplicates another cause of action, and "adds nothing to the complaint by way of fact or theory." (Award Metals v. Superior Court (1991) 228 Cal.App.3d 1128, 1135.)

The demurrer

to the fourth cause of action is SUSTAINED without leave to amend.

Motion To Strike

Meet and Confer

The

form Declaration of Edward W. Racek reflects that Defendant's counsel satisfied

the meet and confer requirement set forth in Civ. Proc. Code, § 435.5.

Discussion

The Court has

reviewed the moving, opposing and reply briefs filed by the parties, but only addresses

the points which the Court deems to be material to the disposition of this motion.

Defendant

Chicago Title Insurance Company moves to strike the following portions of the First

Amended Complaint as follows:

1. Paragraph 69 (Third Cause of Action

for Promissory Fraud) 1AC p. 13, lines 24-26, reading as follows: "Defendants' use

a classic 'bait and switch' tactic to avoid payment to Plaintiffs under the Policy

constituted malice and oppression and Plaintiffs are also entitled to an award of

punitive damages."

MOOT

by virtue of the ruling on the demurrer to the third cause of action.

2. Paragraph 80 (Fourth Cause of Action

for Bad Faith Denial of Insurance Benefits) 1AC p. 15, lines 9-10, reading as follows:

“Defendants’ conduct was malicious, fraudulent, and oppressive, further entitling

Plaintiffs to punitive damages pursuant to California Civil Code section 3294.”

MOOT by virtue of the ruling on the demurrer to the third

cause of action.

3. That portion of the prayer seeking punitive

damages, which appear on page 15, line 16, reading as follows: “For punitive damages.”

Evidence that an insurer has violated its duty

of good faith and fair dealing does not thereby establish that it has acted with

the requisite malice, oppression or fraud to justify an award of punitive damages.

(Citations omitted.) In order to establish that an insurer’s conduct has gone sufficiently

beyond mere bad faith to warrant a punitive award, it must be shown by clear and

convincing evidence that the insurer has acted maliciously, oppressively or fraudulently.

(Mock v. Michigan

Millers Mutual Ins. Co. (1992) 4 Cal.App.4th 306, 328.)

Here, Plaintiffs have sufficiently alleged

that Defendant Chicago Title engaged in a bait and switch tactic to persuade Plaintiffs

to agree to the short sale and release their lien in the belief that Defendant would

pay the shortfall from the sale, then refusing to pay the shortfall. (1AC, ¶¶ 37

– 39.) This is sufficient to allege that Defendant acted with malice, oppression

or fraud as those terms are defined in Civil Code § 3294(c):

(1)"Malice" means conduct

which is intended by the defendant to cause injury to the plaintiff or despicable

conduct which is carried on by the defendant with a willful and conscious disregard

of the rights or safety of others.

(2)"Oppression" means despicable

conduct that subjects a person to cruel and unjust hardship in conscious disregard

of that person's rights.

(3)"Fraud[6]" means an

intentional misrepresentation, deceit, or concealment of a material fact known to

the defendant with the intention on the part of the defendant of thereby depriving

a person of property or legal rights or otherwise causing injury.

(Civ. Code § 3294(c)(1) – (3).)

The motion to strike the

prayer for punitive damages at page 15, line 16,

is DENIED.

Defendant is

to answer the remaining allegations of the First Amended Complaint within 10 days.

[1]

b. "Amount of Insurance": The Amount of

Insurance stated in Schedule A, as may be increased by Condition 8.c.;

decreased by Condition 10; or increased or decreased by endorsements to this

policy. (CONDITIONS, ¶ 1.b.) Schedule A sets forth the applicable Amount of

Insurance of the policy at \$3,350,000.00.

(See Complaint, Exh. 1.)

[2]

Shiffermiller is alleged to be a Vice President and managing agent of Chicago

Title. (1AC, ¶ 13.)

[3] Mase is

counsel of record for Plaintiff in this action.

[4] Sentchuk

is alleged to be CEO of Logan Investments, Inc., which acted as Plaintiffs'

loan servicer. (1AC, ¶ 14.)

[5] "The sole issue raised by a general demurrer is whether

the facts pleaded state a valid cause of action, not whether they are true. No

matter how unlikely or improbable, plaintiff's allegations must be accepted as

true for the purpose of ruling on the demurrer. (Citation omitted.) Furthermore,

plaintiff's possible inability or difficulty in proving the allegations of the

complaint is of no concern. (Citation omitted.)” (Kerivan v. Title Ins. & Trust Co. (1983) 147 Cal.App.3d 225, 229.)

[6] Note,

even though the Court has sustained the demurrer to the promissory fraud cause

of action because benefit of the bargain damages are not recoverable for fraud,

this does not preclude Plaintiff from having plead “fraud” as a state of mind

for purposes of punitive damages.